3.3.2 Competitive Markets

The Model of Perfect Competition	A formal diagrammatic analysis of the perfectly competitive model in the short and long run is expected. Candidates should be able to discuss the implications of the following for the behaviour of firms and the industry: large numbers of producers, identical products, freedom of entry and exit, and readily available information.
Competition and the Efficient Allocation of Resources	Candidates should understand the proposition that, given certain assumptions, relating for example to a lack of externalities and a lack of economies of scale, perfect competition will result in an efficient allocation of resources. Candidates should also be able to assess critically this proposition.
The Dynamics of Competition and Competitive Market Processes	An understanding of both the short-run and long-run benefits which are likely to result from competition is expected. Candidates should understand that firms do not just compete on the basis of price but that competition will also lead firms to strive to improve products, reduce costs, improve the quality of the service provided, etc.